firefighting and *rapidly* pushing initiatives out of the front door. We plan in haste, and repent at leisure.

In order to do better, and obtain the institutionalized application of mind, these practices need to be codified. Parliamentary law must encode requirements for cost–benefit analysis and ex post review of laws and regulations. [2]

This is similar to the problems seen with other aspects of thorough process that induce the institutionalized application of mind. Policymakers in India generally prefer to push through a law or a regulation without introducing the delays associated with developing the required packet of documentation, releasing the materials, and engaging in public consultation.

These things will only be done properly when they are encoded into parliamentary law. From the 1980s onward, under the influence of ‘new public management’, laws of mature market economies have built in these provisions: cost–benefit analysis, ex post review, notice-and-comment, etc. The codification in parliamentary law, of sound processes, is the frontier of building state capacity in India.

Summing up

Going beyond the qualitative recognition of a market failure, it is important to quantify the benefit that would be obtained for society by addressing the market failure.

If the cost–benefit analysis shows that the costs imposed upon society, by the best solution, outweigh the prospective benefits, the cure is worse than the disease.

The formal process of cost–benefit analysis helps avoid emotion, respects the interests of persons who have not mobilized to campaign or lobby for their own interests, helps bring long term considerations into the picture, and combats the sunk cost fallacy.

Every new policy initiative should be launched with a clear statement of the problem that it seeks to solve, the demonstration that there is a market